E1 UK GDPR and special category data in HR

Generated from the same content files as the app. Each module lists its roadmap months. Solutions are in the appendix.

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Track E: Data protection and governance

The law and the frameworks that govern people data, for the engineer who builds the platform.

E1 UK GDPR and special category data in HR

Roadmap: EY Talent Data Strategy role; Current work. Personal and special category data, lawful bases for talent data, Article 9 conditions, appropriate policy documents and DPIA screening.

E1-L1 Personal data, special category data and the two-part test

Concept

Everything a talent platform holds is **personal data**: names, grades, salaries, review scores, course completions, skills. It relates to an identifiable person, so the UK GDPR applies. The Data Protection Act 2018 sits beside it and adds UK-specific conditions. These lessons follow the ICO's guidance as of November 2026. Your data protection officer and legal team make the final call.

Some personal data needs more protection. The UK GDPR names nine **special categories** in Article 9:

- racial or ethnic origin
- political opinions
- religious or philosophical beliefs
- trade union membership
- genetic data
- biometric data, when you use it to identify someone uniquely
- health
- sex life
- sexual orientation

Three details catch engineers out.

Biometric data is narrow. A staff photo on a profile is not special category data. The same photo used to unlock a door by face recognition is.

Inferences count. A model that infers health, ethnicity or sexual orientation from other fields processes special category data, even when no column is called that.

Protected characteristics are a different list. Age and sex are protected under the Equality Act 2010, but they are not special categories. Sexual orientation and religion are both.

To use any personal data you need a **lawful basis** under Article 6. To use special category data you need a lawful basis **and** an **Article 9 condition**. This is the **two-part test**. Lessons E1-L2 and E1-L3 cover each part.

Why it matters

An HR analytics team built an attrition model from absence records, overtime and the free-text reasons managers gave for sick leave. The model's strongest feature was a word count of "stress" and "anxiety" in those reasons. Nobody had flagged the column, because it was called absence_note. It held health data, so the processing needed an Article 9 condition and a data protection impact assessment that nobody had done. The model was withdrawn for three months while the team removed the field and wrote the assessment.

Worked example: weak code

```
# Attribute register, talent platform
date_of_birth: {sensitive: true}
gender: {sensitive: true}
absence_note: {sensitive: false}
badge_photo: {sensitive: true}
union_rep: {sensitive: false}
```

1. **Line 2.** One yes/no flag mixes up two lists. Age is a protected characteristic, not a special category.
2. **Line 4.** Free text about sick leave holds health data.
3. **Line 6.** Being a union representative reveals trade union membership, a special category.

Worked example: strong code

```
# Attribute register, talent platform
date_of_birth: {special_category: null, protected_characteristic: age}
gender: {special_category: null, protected_characteristic: sex}
absence_note: {special_category: health, protected_characteristic: null}
badge_photo: {special_category: null, note: "biometric only if used to
  identify"}
union_rep: {special_category: trade_union_membership,
  protected_characteristic: null}
```

1. **Line 2.** Two separate fields: the GDPR list and the Equality Act list.
2. **Line 4.** Classified by what the content reveals, not by the column name.

3. **Line 5.** Records the condition that would change the classification.

Classify each attribute by what it reveals. Keep the special categories and the protected characteristics as two separate fields, and treat inferences as data.

Recap card

- **The nine special categories** Racial or ethnic origin, political opinions, religious or philosophical beliefs, trade union membership, genetic, biometric (to identify), health, sex life, sexual orientation.
- **Is an inferred special category special category data?** Yes. A model that infers health or ethnicity processes special category data.
- **Age and sex** Protected characteristics under the Equality Act 2010. Not special categories.
- **The two-part test** An Article 6 lawful basis for all personal data, plus an Article 9 condition for special category data.

Practice

Exercise 1. Multiple choice (level 1)

Which attribute is special category data under Article 9 of the UK GDPR?

- a) Date of birth
- b) Salary band
- c) Trade union membership
- d) Home address

Exercise 2. Multiple choice (level 2)

A model predicts which employees are likely to go on long-term sick leave, from absence patterns and overtime. No input column holds health data. Does the processing involve special category data?

- a) No, because no input column is health data
- b) Yes, because the model infers information about health
- c) Only if the predictions are shown to managers
- d) Only if the model uses more than 1,000 records

Why?

- r1) Inferring a special category from other data counts as processing that category.
- r2) Absence data is always health data.

Exercise 3. Fill the gap (level 2)

Complete the two-part test for using special category data.

```
Part 1: a lawful basis under Article _____(1)
Part 2: a condition under Article _____(2)
```

Exercise 4. Write the function (level 3)

Write `is_special_category(field: dict) -> bool` for an attribute register. `field` has a `"category"` key, such as `"health"` or `"age"`, and may have a `"use"` key. Return True for the nine special categories. Biometric data counts only when `field.get("use") == "identify"`. Keep the category names in a module constant.

The category names are: `"racial_or_ethnic_origin"`, `"political_opinions"`, `"religious_or_philosophical_beliefs"`, `"trade_union_membership"`, `"genetic"`, `"biometric"`, `"health"`, `"sex_life"` and `"sexual_orientation"`.

Your code must pass these checks:

- Return True for each of the nine special categories.
- Age and sex are protected characteristics, not special categories. Salary and address are ordinary personal data.
- Biometric data is special category data only when you use it to identify someone uniquely.

Shape of the answer. The reference solution defines these names. Write the bodies yourself.

```python
# Module constant.
SPECIAL_CATEGORIES = ...

# True when an attribute is special category data under Article 9.
def is_special_category(field: dict) -> bool: ...
```

Starter code:

```python
def is_special_category(field):
    return field["category"] in {"health", "age", "biometric"}
```

Exercise 5. Architecture design (level 4)

Design the classification fields for a talent attribute register that feeds access rules and DPIA screening.

Options: special_category and protected_characteristic as separate fields, One sensitive: true/false flag.

1. Fields for sensitivity
2. How an attribute is classified

3. Model outputs

Sources

- UK GDPR Article 9 lists nine special categories; biometric data is special category only when used to identify someone uniquely; inferring a special category means processing special category data; age is a protected characteristic but not special category data; special category data needs a lawful basis and an Article 9 condition. (search-only: ICO guidance pages 'What is special category data?', 'Biometric recognition: key data protection concepts' and 'What about fairness, bias and discrimination?' (ico.org.uk), seen through search results, November 2026. ico.org.uk was not reachable from the build environment.)
- The Data Protection Act 2018 supplements the UK GDPR with UK-specific conditions in Schedule 1. (search-only: ICO guidance 'What are the conditions for processing?' (ico.org.uk), seen through search results, November 2026.)

E1-L2 A lawful basis for each use of talent data

Concept

Article 6 of the UK GDPR gives **six lawful bases**. Each use of personal data needs one that fits it:

- **consent**
- **contract**, to perform a contract with the person, such as paying their salary
- **legal obligation**, such as tax reporting or right-to-work checks
- **vital interests**, to protect someone's life
- **public task**
- **legitimate interests**

Since 5 February 2026, the Data (Use and Access) Act 2025 adds **recognised legitimate interests**: a short, fixed list of purposes, such as safeguarding and crime prevention, that skip the balancing test. Commercial uses are not on it.

Employers rarely rely on consent. The ICO's view is that the power imbalance between employer and worker makes it hard for consent to be freely given. A worker who fears saying no has no genuine choice. Use another basis.

Workforce analytics usually rests on **legitimate interests**. The ICO describes a **three-part test**, recorded in a **legitimate interests assessment** (LIA) before processing starts:

1. **Purpose**: is there a legitimate interest?
2. **Necessity**: does the processing serve it, and is there a less intrusive way?
3. **Balancing**: do the person's interests, rights and freedoms override yours? Ask what a reasonable person would expect.

Two principles from Article 5 shape the platform. **Purpose limitation**: a basis covers the purposes you specified. Payroll under contract does not cover an attrition model. A new purpose needs its own check. **Data minimisation**: hold only the data each purpose needs.

Why it matters

A firm launched an engagement survey and stated that consent was its lawful basis. Two years later it fed the answers into a promotion-readiness model. Staff complained that they had never agreed to that use, and some withdrew consent, which removed their records from every analysis. A legitimate interests assessment for each purpose, done before launch, would have shown that the promotion use failed the balancing test.

Worked example: weak code

```
  # Processing register, talent platform
1 payroll: {lawful_basis: consent}
  engagement_survey: {lawful_basis: consent}
2 attrition_model: {lawful_basis: same as payroll}
```

1. **Line 2.** Workers cannot refuse payroll. Consent cannot be freely given here.
2. **Line 4.** A new purpose needs its own basis check. Payroll's basis does not stretch to it.

Worked example: strong code

```
  # Processing register, talent platform
1 payroll: {lawful_basis: contract}
  tax_reporting: {lawful_basis: legal_obligation}
2 engagement_survey: {lawful_basis: legitimate_interests, lia: LIA-007}
3 attrition_model: {lawful_basis: legitimate_interests, lia: LIA-012,
    fields: minimised}
```

1. **Line 2.** Paying salary performs the employment contract.
2. **Line 4.** Each use of legitimate interests points to its recorded assessment.
3. **Line 5.** Its own assessment, and only the fields the model needs.

Give each purpose its own lawful basis, avoid consent for workers, record a legitimate interests assessment for each use of legitimate interests, and keep only the fields each purpose needs.

Recap card

- **The six lawful bases** Consent, contract, legal obligation, vital interests, public task, legitimate interests.
- **Consent for employee data** Rarely appropriate. The power imbalance makes it hard to give freely. Use another basis.
- **Legitimate interests assessment** Purpose, necessity, balancing, recorded before processing starts.
- **Purpose limitation** A basis covers the purposes you specified. A new purpose, such as an attrition model, needs its own check.
- **Recognised legitimate interests** Added by the Data (Use and Access) Act 2025, in force 5 February 2026. A fixed list of purposes with no balancing test. Not for commercial uses.

Practice

Exercise 1. Multiple choice (level 1)

Which lawful basis fits paying an employee's salary?

- a) Consent
- b) Contract
- c) Vital interests
- d) Public task

Exercise 2. Multiple choice (level 2)

A team wants to use consent as the lawful basis for a voluntary skills survey of its own employees. What does the ICO's guidance say?

- a) Consent is the safest basis for any employee data
- b) Employers rarely rely on consent, because the power imbalance makes it hard to give freely
- c) Consent is banned for employees
- d) Consent is required for any survey

Why?

- r1) A worker who fears refusing has no genuine choice, so consent is hard to show as freely given.

- r2) Consent expires after one year.

Exercise 3. Put in order (level 2)

Put the steps of a legitimate interests assessment in order.

- Balancing: weigh the person's interests, rights and freedoms against yours
- Purpose: identify the legitimate interest
- Record the outcome before processing starts
- Necessity: show the processing serves it and nothing less intrusive would

Exercise 4. Fill the gap (level 3)

Complete the two principles that shape a talent platform.

```
Purpose _____(1): a lawful basis covers the purposes you specified. A new
    purpose needs its own check.
Data _____(2): hold only the data each purpose needs.
```

Exercise 5. Architecture design (level 4)

Choose the lawful basis for each use of a talent platform's data.

Options: Legal obligation, Consent, Legitimate interests.

1. Right-to-work checks before someone starts
2. Recording mandatory training completions
3. A new attrition prediction model

Sources

- Six Article 6 lawful bases; a new purpose needs a lawful basis that fits it; Article 5(1)(c) data minimisation and purpose limitation. (search-only: ICO guidance 'Principle (b): Purpose limitation', 'Principle (c): Data minimisation' and 'A guide to lawful basis' (ico.org.uk), seen through search results, November 2026.)
- Consent is not usually appropriate for employers because of the imbalance of power; not banned where refusing has no adverse consequences. (search-only: ICO guidance 'Data protection and monitoring workers' and 'Data protection and workers' health information' (ico.org.uk), seen through search results, November 2026.)
- Legitimate interests three-part test: purpose, necessity, balancing; reasonable expectations judged objectively; record in an LIA before processing. (search-only: ICO guidance 'What is the legitimate interests

basis?' and 'Legitimate interests' (ico.org.uk), seen through search results, November 2026.)

- Recognised legitimate interests came into force on 5 February 2026 (Data (Use and Access) Act 2025, Commencement No. 6, SI 2026/82); listed purposes skip the balancing test; not for commercial processing. (search-only: Commentary from Alston & Bird (January 2026), Pearl Cohen and bratby.law, seen through search results, November 2026. legislation.gov.uk was not reachable from the build environment.)

E1-L3 Article 9 conditions, policy documents and DPIA screening in HR

Concept

Article 9(2) of the UK GDPR lists ten conditions for special category data. Two carry most HR work, and in the UK both need an extra condition from **Schedule 1 of the Data Protection Act 2018**.

Article 9(2)(b), employment, social security and social protection. It covers duties and rights in employment law, such as recording sickness absence or making reasonable adjustments. The UK condition is Schedule 1, Part 1, **paragraph 1**. It does not cover purely contractual rights.

Article 9(2)(g), substantial public interest. It needs one of the 23 conditions in Schedule 1, **paragraphs 6 to 28**. Diversity monitoring usually relies on **paragraph 8, equality of opportunity or treatment**. Paragraph 8 supports reviewing equality across groups. It cannot support a decision about one person, so keep monitoring data apart from promotion or hiring decisions.

Both routes need an **appropriate policy document** (APD). The ICO says it needs no set form. It names the Schedule 1 condition, explains how you meet the principles, and sets your retention and erasure rules. One APD can cover several purposes. Your record of processing activities also names the condition.

Before you start processing likely to result in **high risk**, carry out a **data protection impact assessment** (DPIA) under Article 35. Three cases always need one, including **large-scale special category data** and extensive profiling with significant effects. The ICO's list adds others, such as innovative technology like AI combined with another risk factor. Two risk

factors usually mean a DPIA. If you cannot reduce a high risk, consult the ICO before you start.

Why it matters

A retailer used its equal opportunities survey, collected under paragraph 8, to pick candidates for a leadership programme that favoured under-represented groups. The survey data now drove decisions about individuals, which paragraph 8 does not support. The programme paused while the team rebuilt it on aggregate statistics and a separate, voluntary application form.

Worked example: weak code

```
  1 # Special category register
❶ sickness_absence: {article_9: 9(2)(b)}
❷ ethnicity: {article_9: 9(2)(g), used_for: [diversity_report,
    promotion_shortlist]}
❸ dpia: not needed, internal data only
```

1. **Line 2.** No Schedule 1 condition and no appropriate policy document.
2. **Line 3.** Paragraph 8 supports monitoring, not decisions about individuals.
3. **Line 4.** Large-scale special category data needs a DPIA, internal or not.

Worked example: strong code

```
  1 # Special category register
❶ sickness_absence: {article_9: 9(2)(b), schedule_1: "Part 1 para 1", apd:
    APD-HR-01}
❷ ethnicity: {article_9: 9(2)(g), schedule_1: "Part 2 para 8", apd: APD-
    HR-01, used_for: [diversity_report]}
❸ dpia: DPIA-014, screened for large-scale special category data and
    profiling
```

1. **Line 2.** Article 9 condition, Schedule 1 condition and the policy document, side by side.
2. **Line 3.** Monitoring only. No individual decisions.
3. **Line 4.** The screening reason is recorded with the assessment.

Pair each Article 9 condition with its Schedule 1 condition and an appropriate policy document, keep monitoring data away from individual decisions, and screen every new use for a DPIA.

Recap card

- **Employment condition in the UK** Article 9(2)(b) plus Schedule 1, Part 1, paragraph 1 of the DPA 2018, with an appropriate policy document.

- **Diversity monitoring** Article 9(2)(g) plus Schedule 1 paragraph 8, equality of opportunity or treatment. Never for decisions about one person.
- **Appropriate policy document** Names the Schedule 1 condition, how you meet the principles, and retention and erasure. One APD can cover several purposes.
- **When a DPIA is mandatory** Before high-risk processing, always for large-scale special category data and extensive profiling with significant effects. Consult the ICO if high risk remains.

Practice

Exercise 1. Multiple choice (level 1)

Which conditions does diversity monitoring of employees usually rely on?

- a) Article 9(2)(g) with Schedule 1 paragraph 8, equality of opportunity or treatment
- b) Article 9(2)(b) with Schedule 1 paragraph 1
- c) Consent from each employee
- d) No condition, because the data is aggregated afterwards

Exercise 2. Multiple choice (level 2)

A team wants to use the ethnicity answers from the equal opportunities survey to shortlist candidates for a promotion programme. What is the problem?

- a) None, the data is already collected
- b) Paragraph 8 supports monitoring equality across groups, not decisions about one person
- c) Ethnicity is not special category data
- d) The survey must be repeated each year

Why?

- r1) The ICO says the equality condition cannot be relied on when processing is for decisions about a particular individual.
- r2) Survey data expires after six months.

Exercise 3. Fill the gap (level 2)

Complete the documentation rule for the employment condition.

```
Article 9(2)(b) in the UK needs Schedule 1, Part 1, paragraph _____(1)
```

```
2 and an appropriate _____(2) document that names the condition and the
    retention rules.
```

Exercise 4. Write the function (level 3)

Write `check_register(entries: list[dict]) -> list[str]` for a processing register. Each entry has `"attribute"`, `"special"` (a bool), `"lawful_basis"`, `"condition"`, `"schedule1"` and `"apd"` (a bool). `"condition"` and `"schedule1"` may be None. Return one message per problem, in register order:

- `"<attribute>: no lawful basis"` when `lawful_basis` is not one of the six bases (`"consent"`, `"contract"`, `"legal_obligation"`, `"vital_interests"`, `"public_task"`, `"legitimate_interests"`)
- `"<attribute>: no Article 9 condition"` when the attribute is special and `condition` is None
- `"<attribute>: no Schedule 1 condition"` when `condition` is `"9(2)(b)"` or `"9(2)(g)"` and `schedule1` is None
- `"<attribute>: no appropriate policy document"` when `condition` is one of those two and `apd` is False

Keep the bases and the two conditions in module constants.

What you need to know.

`entry["schedule1"] is None` tests for a missing value without treating an empty string as missing. A list collects messages in order:

```
1 notes = []
2 notes.append("first")
3 notes.append("second")   # ["first", "second"]
```

Your code must pass these checks:

- A complete special entry and an ordinary entry raise no problems.
- Flag a lawful basis that is not one of the six.
- A special attribute needs an Article 9 condition.
- 9(2)(b) and 9(2)(g) need a Schedule 1 condition and an appropriate policy document.
- Return the problems in register order, not sorted.

Shape of the answer. The reference solution defines these names. Write the bodies yourself.

```
1 # Module constant.
2 LAWFUL_BASES = ...
3
4 # Module constant.
5 NEEDS_SCHEDULE_1 = ...
6
```

```python
# List the documentation gaps in a processing register.
def check_register(entries: list[dict]) -> list[str]: ...
```

Starter code:

```python
def check_register(entries):
    return []
```

Exercise 5. Architecture design (level 4)

Screen a new use of talent data for a DPIA: a model that ranks all 40,000 employees for promotion readiness, using performance ratings, absence history and inferred health risk.

Options: Yes: large-scale special category data and profiling with significant effects, No: the data is internal and already held.

1. Is a DPIA needed?
2. When
3. If a high risk remains after mitigation

Sources

- Article 9(2)(b) relies on DPA 2018 Schedule 1 Part 1 paragraph 1 and needs an appropriate policy document; the employment condition does not cover purely contractual rights; APD needs no set form, outlines condition, principles procedures and retention; one APD can cover several purposes; record of processing activities must note the condition. (search-only: ICO guidance 'What are the conditions for processing?', 'What are the rules on special category data?' and 'Data protection and monitoring workers' (ico.org.uk), seen through search results, November 2026.)
- 23 substantial public interest conditions in Schedule 1 paragraphs 6 to 28; paragraph 8 equality of opportunity or treatment supports monitoring with Article 9(2)(g); it cannot be relied on for decisions about a particular individual; APD required. (search-only: ICO guidance 'What are the substantial public interest conditions?' and 'What about fairness, bias and discrimination?' (ico.org.uk), seen through search results, November 2026. The Data (Use and Access) Act 2025 added a substantial public interest condition, not checked here.)
- Article 35(3): large-scale special category data, systematic extensive profiling with significant effects and large-scale public monitoring always need a DPIA; ICO list includes innovative technology such as AI when combined with another criterion; two screening criteria usually indicate a DPIA; consult the ICO if high risk cannot be mitigated. (search-only: ICO

guidance 'When do we need to do a DPIA?' and 'Examples of processing likely to result in high risk' (ico.org.uk), seen through search results, November 2026.)

Track E best-practice checklist

☐ Treat every talent attribute as personal data. Flag special category data, including what a model infers.

☐ Every use of personal data has a lawful basis. Every use of special category data also has an Article 9 condition.

☐ Employers rarely rely on consent. Record a legitimate interests assessment when you use legitimate interests.

☐ Keep an appropriate policy document for the employment and substantial public interest conditions.

☐ Screen every new use of people data for a DPIA. Large-scale special category data always needs one.

☐ Govern with a frame everyone shares. Map each knowledge area to the talent domains, with an owner.

☐ Score maturity with evidence, per knowledge area and domain. Never average a gap away.

☐ The legal team and the data protection officer decide on compliance. These lessons teach you to ask the right questions.

Appendix: solutions and answer keys

Attempt each exercise before you read its solution. Track D answer keys are here too.

E1-L1 Personal data, special category data and the two-part test

E1-L1 exercise 1

Hints. (1) There are nine special categories. (2) Think of what membership of an organisation can reveal about someone. (3) Trade union membership is on the list.

Answer. c) Trade union membership

Trade union membership is one of the nine special categories. The others are racial or ethnic origin, political opinions, religious or philosophical beliefs, genetic data, biometric data used to identify someone, health, sex life and sexual orientation.

Common wrong answers.

- `a`: Age is a protected characteristic under the Equality Act 2010, but it is not one of the nine special categories.
- `b`: Salary is personal data, and confidential, but it is not a special category.
- `d`: An address is personal data, not special category data.

E1-L1 exercise 2

Hints. (1) What does the model output say about each person? (2) Does inferring a category count as processing it? (3) The ICO treats inferred special category data as special category data.

Answer. b) Yes, because the model infers information about health Because: r1) Inferring a special category from other data counts as processing that category.

The ICO's guidance says that inferring health, ethnicity, beliefs or sexual orientation means you are processing special category data and need an Article 9 condition.

Common wrong answers.

- `a`: Inferences count. A prediction about health is health data.

- `c`: Producing the inference is processing, whether or not anyone sees it.
- `d`: Scale matters for whether you need a DPIA, not for whether data is special category.
- `b|r2`: Right answer, wrong reason. A plain count of days absent is not health data. The model's inference about illness is.

E1-L1 exercise 3

Hints. (1) One article applies to all personal data. (2) The other applies only to special categories. (3) Article 6, then Article 9.

Answer.

```
Part 1: a lawful basis under Article 6
Part 2: a condition under Article 9
```

Every use of personal data needs an Article 6 lawful basis. Special category data needs an Article 9 condition as well.

Common wrong answers.

- g1 = `9`; g2 = `6`: The other way round. Every use of personal data needs an Article 6 basis. Special category data also needs an Article 9 condition.

E1-L1 exercise 4

Hints. (1) Put the nine names in a frozenset at module level. (2) Handle biometric before the general check. (3) `field.get("use") == "identify"` is True only when the use is set to identify.

Answer.

```python
SPECIAL_CATEGORIES = frozenset(
    {
        "racial_or_ethnic_origin",
        "political_opinions",
        "religious_or_philosophical_beliefs",
        "trade_union_membership",
        "genetic",
        "biometric",
        "health",
        "sex_life",
        "sexual_orientation",
    }
)


def is_special_category(field: dict) -> bool:
    """True when an attribute is special category data under Article 9.

    Args:
        field: Register entry with a "category" and an optional "use".
```

```
21
22      Returns:
23          Whether the attribute needs an Article 9 condition.
24      """
25      category = field["category"]
26      if category == "biometric":
27          return field.get("use") == "identify"
28      return category in SPECIAL_CATEGORIES
```

A constant holds the list, and the one conditional category gets its own branch. Age and sex stay out: they belong to the Equality Act list.

E1-L1 exercise 5

Hints. (1) Do the two lists of sensitive attributes match? (2) Can a column name hide what a field holds? (3) Is an inference data?

Answer.

- Two fields, because the GDPR list and the Equality Act list overlap only in part.
- Classify by content: a free-text field can hold health data under any name.
- Inferred attributes are special category data, so they belong in the register with their own access rules.

Separate the two lists, classify by content, and register inferences, so access rules and DPIA screening start from the truth.

Common wrong answers.

- fields = `one`: A single flag cannot say whether an attribute needs an Article 9 condition or only a fairness check.
- basis = `name`: A column called absence_note held health data in this lesson's example.
- inferred = `skip`: Inferring a special category is processing it.

E1-L2 A lawful basis for each use of talent data

E1-L2 exercise 1

Hints. (1) What agreement does a salary come from? (2) The employment contract. (3) Contract.

Answer. b) Contract

Paying salary is necessary to perform the employment contract, so the contract basis fits.

Common wrong answers.

- `a`: The employee cannot refuse payroll, so consent would not be freely given. Payroll performs the contract.
- `c`: Vital interests protects someone's life. Salary payments do not.
- `d`: Public task covers official functions set out in law, not paying staff.

E1-L2 exercise 2

Hints. (1) Who holds the power in employment? (2) Can consent be freely given when refusing feels risky? (3) Look for another basis, such as legitimate interests.

Answer. b) Employers rarely rely on consent, because the power imbalance makes it hard to give freely Because: r1) A worker who fears refusing has no genuine choice, so consent is hard to show as freely given.

The ICO treats consent as rarely appropriate for employers, because a worker's choice is not genuinely free. Legitimate interests, with a recorded assessment, usually fits voluntary analytics.

Common wrong answers.

- `a`: Consent is the hardest basis to rely on for employees, and it can be withdrawn at any time.
- `c`: It is not banned. The ICO says it can work where refusing truly has no consequences, but that is rare.
- `d`: No lawful basis is required for a type of activity. You choose the one that fits the purpose.
- `b|r2`: Right answer, wrong reason. The problem is the imbalance of power, not an expiry date.

E1-L2 exercise 3

Hints. (1) What do you need before you can test necessity? (2) The balancing test weighs the interest you named against the person's. (3) The record comes last, before processing begins.

Answer.

1. Purpose: identify the legitimate interest
2. Necessity: show the processing serves it and nothing less intrusive would
3. Balancing: weigh the person's interests, rights and freedoms against yours
4. Record the outcome before processing starts

Purpose, necessity, balancing, then a written record before processing starts.

Common wrong answers.

- You cannot weigh an interest you have not named yet. Start with the purpose.
- Record the outcome once all three parts are done, before processing starts.

E1-L2 exercise 4

Hints. (1) Both principles come from Article 5. (2) One limits purposes, the other keeps data to a minimum. (3) `limitation`, then `minimisation`.

Answer.

```
Purpose limitation: a lawful basis covers the purposes you specified. A new purpose needs its own check.
Data minimisation: hold only the data each purpose needs.
```

Purpose limitation and data minimisation are Article 5 principles. Together they stop one dataset quietly serving every new idea.

Common wrong answers.

- g1 = `minimisation`; g2 = `limitation`: The other way round: purpose limitation, data minimisation.

E1-L2 exercise 5

Hints. (1) Which uses does the law require? (2) Which use is a new purpose? (3) A new purpose needs its own basis check.

Answer.

- Right-to-work checks are required by law, so legal obligation fits.
- Training records support the employment relationship. Record which basis you use and why.
- The attrition model is a new purpose. It needs its own basis check and assessment, and only the fields it uses.

Legal duties use legal obligation. Running the employment relationship uses contract or legitimate interests. A new analytics purpose gets its own assessment.

Common wrong answers.

- right_to_work = `consent`: The check is a legal duty. Consent would be misleading, because the worker cannot refuse.
- attrition = `inherit`: Purpose limitation: payroll's basis does not cover a new analytics purpose.

- attrition = `consent`: Consent rarely works for employees, and withdrawals would leave holes in the model.

E1-L3 Article 9 conditions, policy documents and DPIA screening in HR

E1-L3 exercise 1

Hints. (1) Monitoring equality is a substantial public interest. (2) Which Schedule 1 paragraph names equality? (3) Paragraph 8.

Answer. a) Article 9(2)(g) with Schedule 1 paragraph 8, equality of opportunity or treatment

Article 9(2)(g) with Schedule 1 paragraph 8 covers reviewing equality of opportunity or treatment between groups.

Common wrong answers.

- `b`: Paragraph 1 covers obligations and rights in employment law. Diversity monitoring uses the equality condition in paragraph 8.
- `c`: Consent is rarely appropriate for employees, and monitoring has its own condition.
- `d`: You process individual records before you aggregate them, so you need a condition.

E1-L3 exercise 2

Hints. (1) What does paragraph 8 allow you to do? (2) Is a shortlist a decision about a person? (3) Monitoring and decisions need separate data and separate conditions.

Answer. b) Paragraph 8 supports monitoring equality across groups, not decisions about one person Because: r1) The ICO says the equality condition cannot be relied on when processing is for decisions about a particular individual.

Keep equality monitoring data apart from decisions about individuals. Paragraph 8 does not cover them.

Common wrong answers.

- `a`: Purpose limitation: the data was collected for monitoring, under a condition that does not cover decisions.
- `c`: Racial or ethnic origin is a special category.
- `d`: Frequency is not the issue. The use is.

- `b|r2`: Right answer, wrong reason. Retention periods are set in your policy, but the problem here is using monitoring data for individual decisions.

E1-L3 exercise 3

Hints. (1) Part 1 of Schedule 1 starts with the employment condition. (2) APD stands for appropriate ... document. (3) Paragraph `1`, and `policy`.

Answer.

```
Article 9(2)(b) in the UK needs Schedule 1, Part 1, paragraph 1
and an appropriate policy document that names the condition and the
    retention rules.
```

The employment condition is Schedule 1, Part 1, paragraph 1, and it needs an appropriate policy document.

Common wrong answers.

- g1 = `8`: Paragraph 8 is equality of opportunity or treatment, a substantial public interest condition. The employment condition is paragraph 1.

E1-L3 exercise 4

Hints. (1) Loop over the entries once, appending messages as you go. (2) Check the basis, then the Article 9 condition, then the two documentation rules. (3) Only 9(2)(b) and 9(2)(g) need Schedule 1 and the policy document.

Answer.

```python
LAWFUL_BASES = frozenset(
    {
        "consent",
        "contract",
        "legal_obligation",
        "vital_interests",
        "public_task",
        "legitimate_interests",
    }
)
NEEDS_SCHEDULE_1 = frozenset({"9(2)(b)", "9(2)(g)"})


def check_register(entries: list[dict]) -> list[str]:
    """List the documentation gaps in a processing register.

    Args:
        entries: Register entries with lawful basis, Article 9 condition,
            Schedule 1 condition and policy document status.

    Returns:
        One message per problem, in register order.
```

```
    """
    problems: list[str] = []
    for entry in entries:
        name = entry["attribute"]
        if entry["lawful_basis"] not in LAWFUL_BASES:
            problems.append(f"{name}: no lawful basis")
        if entry["special"] and entry["condition"] is None:
            problems.append(f"{name}: no Article 9 condition")
        if entry["condition"] in NEEDS_SCHEDULE_1:
            if entry["schedule1"] is None:
                problems.append(f"{name}: no Schedule 1 condition")
            if not entry["apd"]:
                problems.append(f"{name}: no appropriate policy document")
    return problems
```

Encoding the register rules as a check means every new attribute is tested the same way, and the gaps show up before an auditor finds them.

E1-L3 exercise 5

Hints. (1) Count the risk factors: scale, special category data, significant effects. (2) What is a DPIA for, if not to shape the design? (3) What does Article 36 prior consultation mean?

Answer.

- Inferred health risk across 40,000 people is large-scale special category data, and ranking for promotion is profiling with significant effects. Both always need a DPIA.
- The DPIA comes before processing, so its findings can change the design, for example by dropping the health inference.
- A high risk you cannot reduce means consulting the ICO first.

Screen early, assess before processing, and consult the ICO when a high risk remains.

Common wrong answers.

- need = `not_needed`: Holding the data already changes nothing. A new use with these risk factors always needs a DPIA.
- when = `after`: A DPIA after the run cannot shape the design. It comes first.
- residual = `proceed`: An unmitigated high risk needs prior consultation with the ICO.